

- RAG Learning

1.4 Managing People

Business — Edexcel (9BS0) — Theme 1: Marketing and people

This topic covers how a business staffs itself, recruits and trains people, organises them into a structure, motivates them and leads them. It is the most theory-heavy topic in Theme 1: four motivation theorists and four leadership styles are named in the specification and you must be able to **apply** them to a business, not just describe them. The core tension throughout is whether staff are treated as a **cost** to be minimised or an **asset** to be developed — and the answer usually depends on the type of business, its competitive strategy and the skills of its workforce.

Human resource management (HRM) — the function that plans, recruits, trains, organises and motivates a firm's workforce.

Flexible workforce — a workforce that can be quickly adjusted in size, hours or skills to meet changing demand.

Dismissal — ending an employee's contract because of the employee's conduct, capability or another fair reason.

Redundancy — ending an employee's contract because the job itself no longer exists.

Collective bargaining — negotiation between employers and a trade union representing a group of workers over pay and conditions.

Span of control — the number of subordinates directly responsible to one manager.

Chain of command — the route through which instructions pass down, and information passes up, a hierarchy.

Motivation — the internal and external factors that stimulate people to work towards goals.

Leadership — the ability to influence and inspire others to achieve goals.

1.4.1 Approaches to staffing

a) Staff as an asset; staff as a cost

Staff as a cost	Staff as an asset
Labour is an expense to be minimised: low wages, minimal training, zero-hours contracts, replacing staff with technology	Staff are a source of competitive advantage: invest in training, development, pay and engagement
Short-term focus on cost control and margins	Long-term focus on productivity, retention, innovation and service
Suits low-skill, easily replaced roles in price-competitive markets	Suits knowledge-based and service businesses where customers value expertise
Risks: high labour turnover, low morale, poor service, recruitment costs	Risks: higher costs; trained staff may be poached by rivals

John Lewis Partnership (employee-owned) is the standard “asset” example; firms relying heavily on agency and zero-hours labour are nearer the “cost” end. Most businesses treat core staff as assets and peripheral staff as costs.

b) Flexible workforce

- **Multi-skilling** — training staff to do several jobs, so they can cover absence and shifts in workload. Adds variety but costs training time.
- **Part-time and temporary** — allows the firm to match staffing to demand (seasonal staff at Royal Mail and Amazon before Christmas). Temporary and zero-hours staff may be less committed and less well trained.
- **Flexible hours and home working** — flexitime, compressed hours, hybrid working. Widespread since the pandemic; since April 2024 all employees can request flexible working from day one. Reduces office costs and widens the recruitment pool, but can weaken communication, collaboration and supervision.
- **Outsourcing** — contracting out activities (cleaning, IT, payroll, customer service) to specialist firms. Lowers costs and allows focus on core activities, but reduces control over quality and can damage reputation if the contractor fails (the collapse of Carillion in 2018 disrupted many public-sector services).

Core and periphery: many firms keep a core of permanent skilled staff and a flexible periphery of part-time, temporary and outsourced workers.

c) Distinction between dismissal and redundancy

	Dismissal	Redundancy
Reason	Related to the employee: misconduct (e.g. theft), lack of capability, or another fair reason	Related to the job: it is no longer needed (closure, relocation, restructuring, automation, falling demand)
Replacement	The employee is usually replaced	The job is not refilled
Compensation	None if the dismissal is fair	Statutory redundancy pay for employees with at least two years' service
Process	Must follow a fair procedure (warnings, hearing); otherwise risk an unfair dismissal claim at an employment tribunal	Must consult staff and select fairly; collective consultation is required when 20 or more redundancies are proposed

d) Employer/employee relationships

- **Individual approach** — each employee negotiates pay and conditions directly with the employer; common in small firms and non-unionised workplaces. Flexible and personal, but individual workers have little bargaining power.
- **Collective bargaining** — a trade union negotiates on behalf of all workers in a group (e.g. the RMT for rail workers, the BMA for resident doctors). Saves management time (one negotiation rather than hundreds) and gives workers more power, but can lead to industrial action. Strikes in rail, the NHS and the Post Office in 2022–24 followed high inflation eroding real pay.
- **ACAS** (Advisory, Conciliation and Arbitration Service) helps resolve disputes.

Good employer/employee relations reduce absenteeism, labour turnover and disputes; employee representation (works councils, consultation) can improve decisions by drawing on workers'

knowledge.

1.4.2 Recruitment, selection and training

a) The recruitment and selection process

1. **Identify a vacancy** (workforce planning, resignation, expansion).
2. **Job analysis**, producing a **job description** (the tasks and responsibilities of the role) and a **person specification** (the skills, qualifications and qualities required of the person).
3. **Advertise** internally or externally (job sites such as LinkedIn and Indeed, recruitment agencies, the firm's website, social media).
4. **Shortlist** from applications, CVs or online forms.
5. **Select** through interviews, aptitude or psychometric tests, work trials, assessment centres, references.
6. **Appoint** and issue a contract, then **induct**.

	Internal recruitment	External recruitment
Advantages	Cheaper and quicker; candidate already knows the business and culture; known track record; motivating (promotion prospects)	Wider pool of talent; brings in new ideas and skills; avoids creating a further vacancy
Disadvantages	Limited pool; creates another vacancy to fill; lack of fresh ideas; can cause resentment among unsuccessful colleagues	More expensive and slower; greater risk (less known about the candidate); longer induction; can demotivate internal candidates

b) Costs of recruitment, selection and training

- **Direct costs:** advertising, agency fees (often 15–25% of first-year salary), testing, interview time, travel, training courses.
- **Indirect costs:** managers' time; lower productivity while new staff learn; errors; disruption.

- **Cost of getting it wrong:** a poor appointment leads to low performance and the whole process must be repeated.

These costs explain why **labour turnover** (staff leaving) is expensive and why retention matters. The case for training is that it raises productivity, quality and motivation and reduces turnover; the case against is cost and the risk that trained staff are poached.

c) Types of training

Type	Description	Advantages	Disadvantages
Induction	Introductory training for new starters: the firm, its policies, health and safety, colleagues	New staff become productive faster; fewer early leavers	Takes time before the new employee contributes
On-the-job	Learning while working, e.g. shadowing, coaching, mentoring	Cheap; relevant to the actual job; some output produced	Trainer's productivity falls; may pass on bad habits; limited to existing practices
Off-the-job	Training away from the workplace: college courses, external providers, online courses	Specialist expertise; new ideas; recognised qualifications	Expensive; lost working time; may not be relevant; qualified staff may leave

Apprenticeships combine on-the-job and off-the-job training; large employers pay the Apprenticeship Levy (0.5% of the pay bill, paid by employers whose annual pay bill exceeds £3m) and can draw it back to fund apprenticeship training.

1.4.3 Organisational design

a) Structure

- **Hierarchy** — the levels of management and authority in an organisation, from top to bottom.

- **Chain of command** — the line through which authority passes down. Long chains slow communication and decision-making and distort messages.
- **Span of control** — wide spans (many subordinates) suit skilled, self-motivated staff and cost less in management; narrow spans allow close supervision and support but need more managers.
- **Centralised** structures keep decision-making at the top (consistency, tight control, fast strategic decisions, economies of scale in purchasing — e.g. McDonald's standard menu and procedures). **Decentralised** structures delegate decisions to branches or lower levels (faster local response, motivation, use of local knowledge — but risk of inconsistency).

b) Types of structure

Structure	Features	Advantages	Disadvantages
Tall	Many levels of hierarchy; narrow spans of control	Close supervision; clear promotion paths; tight control	Slow communication; high management costs; less autonomy; can demotivate
Flat	Few levels; wide spans	Fast communication; lower overheads; more delegation and empowerment	Managers may be overstretched; fewer promotion opportunities; less supervision
Matrix	Staff are organised by function and also allocated to project teams; two lines of reporting	Brings together expertise for projects; flexible; good for innovation	Two bosses can cause conflict and confusion; hard to coordinate

Worked example: a company with 1 managing director and a span of control of 5 at each level. Level 2 = 5 managers; level 3 = 25; level 4 = 125. With a span of 10: level 2 = 10, level 3 = 100 — 111 people fit into three levels, whereas with a span of 5 three levels hold only 31 people and a fourth level is needed (156 in total). Wider spans mean fewer layers for a workforce of a given size.

c) Impact of organisational structures on efficiency and motivation

- **Efficiency** — flat structures reduce management overheads and speed decision-making; tall structures can create bureaucracy. **Delayering** (removing layers) cuts costs, but can overload remaining managers.
- **Motivation** — flat, decentralised structures give responsibility and autonomy (Herzberg's motivators, Maslow's higher needs); tall structures offer promotion ladders and security but can feel controlling.

The right structure depends on the size of the business, the skills of staff, the nature of the work (routine versus creative), the need for consistency, and the pace of change in the market.

1.4.4 Motivation in theory and practice

a) The importance of employee motivation

Motivated employees are more productive (lower unit labour costs), provide better quality and customer service, are less likely to be absent or to leave (lower recruitment and training costs), and are more willing to accept change and contribute ideas. Indicators of low motivation include high **labour turnover**, **absenteeism**, poor quality, and disputes.

Labour turnover (%) = $\text{Number of staff leaving in a year} \div \text{Average number of staff} \times 100$.

E.g. 18 leavers from an average workforce of 120 = **15%**.

b) Motivation theories

F.W. Taylor — scientific management (1911)

Workers are motivated mainly by money ("economic man"). Management should study each job scientifically (time-and-motion studies) to find the "one best way" of doing it, break it into simple repetitive tasks, select and train workers for those tasks, supervise closely, and pay by results (**piece rate**).

Application today: call centres with scripted calls and timed targets; fulfilment warehouses tracking pick rates; fast-food production lines.

Evaluation: raises productivity in routine work, but ignores social and psychological needs; repetitive work leads to boredom, absenteeism and turnover; unsuitable for creative or knowledge work.

Elton Mayo — human relations theory (Hawthorne studies, 1920s–30s)

At the Western Electric Hawthorne plant, productivity rose whenever working conditions were changed — even when lighting was reduced. Mayo concluded that workers were responding to the **attention** they received and to belonging to a **group** (the “Hawthorne effect”). Social needs, teamwork, communication and managers taking an interest in staff all matter.

Application: team working, social facilities, consultation, staff surveys.

Evaluation: shifted attention to social factors; but the studies' methods have been criticised, and group norms can also restrict output.

Abraham Maslow — hierarchy of needs (1943)

Needs are arranged in a hierarchy; once a lower level is satisfied, the next level becomes the motivator:

1. **Physiological** — pay sufficient for food and shelter; breaks, warmth.
2. **Safety** — job security, safe working conditions, pension, contracts.
3. **Social (love and belonging)** — teams, friendships at work.
4. **Esteem** — recognition, status, praise, promotion, job titles.
5. **Self-actualisation** — reaching full potential; challenging, creative work.

Application: a manager identifies which level employees are at and offers incentives for the next level.

Evaluation: intuitive and useful, but individuals differ; the levels are hard to measure; people may seek several needs at once; the order may vary by culture; a satisfied need may reappear (e.g. job insecurity during redundancies).

Frederick Herzberg — two-factor theory (1959)

Hygiene factors (pay, working conditions, company policy, supervision, job security, relationships) do not motivate, but cause **dissatisfaction** if they are inadequate.

Motivators (achievement, recognition, responsibility, the work itself, advancement, personal growth) create genuine satisfaction and motivation.

Application: first remove dissatisfaction by getting hygiene factors right, then motivate through **job enrichment** — giving employees complete units of work, responsibility and challenge. Herzberg argued job enlargement and job rotation add only more of the same.

Evaluation: the research used a small sample of accountants and engineers; pay may be a

motivator for some workers (e.g. sales staff on commission); but it explains why pay rises alone often produce only short-term gains.

Link across theories	Taylor	Mayo	Maslow	Herzberg
Role of pay	The main motivator	Secondary to social factors	Meets lower needs	Hygiene factor
Key tool	Piece rate, supervision	Teams, attention	Meeting the next level of need	Job enrichment

c) Financial incentives to improve employee performance

Incentive	How it works	Advantages	Disadvantages
Piecework	Pay per unit produced	Direct link between effort and reward; raises output (Taylor)	Quality may suffer; unsuitable where output is hard to measure; stressful; must still meet the minimum wage
Commission	A percentage of the value of sales made	Motivates sales staff; cost linked to revenue	Can encourage mis-selling (PPI scandal); unstable income
Bonus	A lump sum for meeting targets	Flexible; rewards specific goals	Can become expected; may encourage short-termism
Profit share	A share of the firm's profits paid to employees	Aligns staff with company goals; sense of ownership (John Lewis bonus)	Weak link between individual effort and reward; nothing paid in a bad year

Performance-related pay (PRP)	Pay rises linked to appraisal against targets	Rewards good performers; suits roles without measurable output	Appraisal may be subjective; can damage teamwork; costly to administer
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Worked example (commission): a sales assistant earns a basic £1,600 a month plus 3% commission on sales. With sales of £42,000, commission = £1,260 and total pay = **£2,860**.

d) Non-financial techniques to improve employee performance

- **Delegation** — passing authority for a task down to a subordinate (the manager remains accountable).
- **Consultation** — asking employees' views before decisions are made.
- **Empowerment** — giving employees the authority to make decisions about their own work (Ritz-Carlton staff can spend up to \$2,000 to resolve a guest problem).
- **Team working** — organising staff into teams with shared goals (meets Mayo's and Maslow's social needs).
- **Flexible working** — choice over hours and location; improves work-life balance and retention.
- **Job enrichment** — vertical loading: more responsibility, challenge and a complete unit of work (Herzberg's motivators).
- **Job rotation** — moving between tasks of a similar level; reduces boredom and multi-skills staff.
- **Job enlargement** — horizontal loading: more tasks of a similar level; can be seen as "more work for the same pay".

Exam Tip: Do not simply list theories. Apply one or two that fit the context: a warehouse with repetitive work and high turnover invites Taylor (why piece rate raises output) against Herzberg (why it does not raise satisfaction). The evaluation often turns on cost and practicality: job enrichment may be impossible on a production line; financial incentives may be unaffordable in a firm with falling profits.

1.4.5 Leadership

a) The distinction between management and leadership

Management	Leadership
Planning, organising, coordinating and controlling resources to achieve objectives	Setting a vision and direction and inspiring people to follow it
Focus on systems, processes and short-term targets	Focus on people, change and long-term goals
Authority comes from position	Influence can come from personality, expertise and example
"Doing things right"	"Doing the right things"

In practice good managers need leadership skills and leaders need management skills; the distinction is about emphasis.

b) Types of leadership style

Style	Features	Suits	Drawbacks
Autocratic	Leader makes decisions alone; one-way communication; close supervision (Taylor's assumptions)	Crises, unskilled or new staff, where fast decisions are essential (military, emergency services)	Demotivates skilled staff; no use of workers' ideas; dependent on the leader
Paternalistic	Leader decides but in what they believe is employees' best interests; explains decisions; cares for welfare	Family businesses; staff who value security	Can be seen as patronising; still little real involvement
Democratic	Staff are consulted and involved in decisions; two-way communication; delegation	Skilled, experienced staff; creative work; implementing change that needs buy-in	Slower decisions; requires capable staff; the leader must still take responsibility

Laissez-faire	Leader sets broad goals and leaves staff to decide how to achieve them; minimal direction	Highly skilled, self-motivated professionals: research teams, design agencies	Lack of direction and coordination; poor performance if staff are not self-driven
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Useful framework (not named in the specification): Tannenbaum and Schmidt's continuum places styles on a line from leader-centred (autocratic "tells") to subordinate-centred ("joins"/laissez-faire), with the right point depending on the leader, the team and the situation. You do not need to name it, but the idea that *the best style depends on the situation* is the core evaluation point for any leadership question.

Common mistakes

- Confusing redundancy with dismissal — redundancy is about the job, not the person.
- Confusing job enlargement (more tasks, same level) with job enrichment (more responsibility).
- Saying Herzberg claimed pay is unimportant — poor pay causes dissatisfaction.
- Treating delegation and empowerment as the same — empowerment gives more genuine decision-making power.
- Saying one leadership style is "best" without reference to the situation.
- Assuming flat structures are always better — spans can become too wide.

Quick recall

- Staff as cost (minimise) versus asset (invest); flexible workforce: multi-skilling, part-time/temporary, flexible hours/home working, outsourcing
- Dismissal = the person; redundancy = the job
- Individual approach versus collective bargaining through trade unions
- Recruitment: job description, person specification, advertise, shortlist, select; internal versus external
- Training: induction, on-the-job, off-the-job

- Tall (narrow spans) versus flat (wide spans) versus matrix; centralised versus decentralised
- Taylor: money, one best way. Mayo: social needs, Hawthorne. Maslow: five-level hierarchy. Herzberg: hygiene factors and motivators
- Financial: piecework, commission, bonus, profit share, PRP. Non-financial: delegation, consultation, empowerment, teams, flexible working, enrichment, rotation, enlargement
- Leadership styles: autocratic, paternalistic, democratic, laissez-faire — the best style depends on staff, task and situation